

# The US-China Trade Stand-off

An explainer on the reciprocal trade restrictions Washington and Beijing are holding in suspension and how easily they could be reimposed



Affiliates Rule, port fees,  
Section 301 exclusions



Rare earth controls,  
reciprocal port fees

## 10 November 2026

when the suspensions lapse together

### ~20,000

Companies in China the fifty percent ownership test would reach, on one CSIS estimate

### 0.1%

Chinese-origin rare earth content that pulls in a good made anywhere in the world

### 12.5%

Section 301 forced-labor tariff from July 24, 2026, replacing IEEPA duties

### \$370bn

Annual imports under the 2018 Section 301 lists, untouched by the ruling

## Simon Lacey

September 2026

# The US-China Trade Stand-off

*An explainer on the reciprocal trade restrictions Washington and Beijing are holding in suspension and how easily they could be reimposed*

On November 10, 2025, a remarkable number of separate instruments had their status changed on a single day. The Bureau of Industry and Security (BIS) suspended its Affiliates Rule. The Office of the United States Trade Representative (USTR) suspended the onerous port fees on Chinese-built and Chinese-linked vessels, and China suspended the reciprocal fees it had imposed in response to them. The American fentanyl tariff came down from 20 percent to 10 percent, the tariff truce was extended by a full year, and 178 Section 301 product exclusions that had been due to lapse at the end of that month were extended. Three days earlier, Beijing had suspended the rare earth export controls it had announced on October 9.

What almost none of those measures were is withdrawn. Each was suspended, and a suspended measure stays on the books and returns either at a set date or on a short notice, without anyone having to legislate or to run a fresh rulemaking. That distinction is the subject of this explainer, because it governs how quickly the relationship can revert and it holds regardless of what either government decides in any given month.

What follows sets out how the legal foundation of a large part of the American tariff structure was removed and rebuilt twice in the space of five months, which sectors each instrument reaches and by which trigger, where discretion is being used in place of published rules, and how fast the position can be restored. The schedule of current expiry dates is the part of this document that moves, and it will be restated once those dates have passed.

*This explainer is not investment, legal, or compliance advice. It is intended for professionals operating at the intersection of trade policy, geopolitics, and supply chain strategy. Positions are stated as of August 28, 2026.*

## In Short

The relationship currently runs on a one-year truce struck at Busan on October 30, 2025 and reaffirmed at the Beijing summit in May 2026. What matters about that truce is less its content than its legal form, because nearly every de-escalatory measure the agreement contains is a suspension rather than a rescission. It's important to understand the difference: a suspended measure remains on the books and returns either automatically at a set date or on a short notice, whereas a measure that has been rescinded requires a fresh rulemaking to restore it. That distinction determines how quickly the restrictions can revert and as currently conceived they can revert almost immediately.

- **The key date is November 10, 2026.** The tariff truce, the suspension of the BIS Affiliates Rule, China's suspension of its October 2025 rare earth controls, both sides' port fee suspensions, and the 178 Section 301 exclusions all lapse within forty-eight hours of each other. None of these suspensions requires an affirmative act to terminate, but each one requires an affirmative act to continue in force.
- **The measures were exchanged as part of a reciprocal arrangement.** The American Affiliates Rule suspension was traded against China's suspension of its October 2025 rare earth export controls, the USTR port fees against China's reciprocal port fees, and the American tariff reduction against the removal of

Chinese retaliatory duties on agricultural products and a resumption of farm purchases. Paired instruments tend to fail together, so the practical question is not which measure lapses first but whether the package as a whole is extended.

- **The Supreme Court struck down tariff authority but the tariffs stayed.** On February 20, 2026 SCOTUS held that the International Emergency Economic Powers Act (IEEPA) does not authorize tariffs, which voided the fentanyl and reciprocal duties on China. The administration replaced them within hours with a Section 122 surcharge, and when that was held unlawful and subsequently expired, it was itself replaced with a new Section 301 forced-labor tariff effective July 24, 2026. The result is that the legal basis of the tariffs changed twice while the aggregate cost of importing from China changed comparatively little.
- **Section 232 is now the durable tariff layer.** The steel, aluminum, and semiconductor actions were untouched by the SCOTUS ruling because they rest on a different statute with its own procedural record.
- **The broadest exposure runs through ownership rather than through product.** The Affiliates Rule is the only suspended measure that reaches counterparties by who owns them rather than by what they make or what they are called, extending Entity List and Military End User restrictions to any entity fifty percent or more owned by a listed party. On reimposition the restricted population expands to take in subsidiaries and affiliates that appear on no list under their own name, which a compliance function screening names against those lists has no way of detecting.
- **Discretion is being used as an instrument in its own right.** The eight-month freeze on Entity List additions between October 2025 and June 2026 was the longest since 2008, and the antitrust investigations into Nvidia and Qualcomm remain formally open with no closure notice published. Because neither the freeze nor the probes carried a published expiry, both can be tightened or relaxed at any point without anyone having to announce that a position has changed, which is not true of a measure subject to a ticking clock.

|                                                                                                         |                                                                                                               |                                                                                                              |                                                                                                  |
|---------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| <b>~20,000</b>                                                                                          | <b>0.1%</b>                                                                                                   | <b>12.5%</b>                                                                                                 | <b>USD 370bn</b>                                                                                 |
| Companies in China the Affiliates Rule's fifty percent ownership test would reach, on one CSIS estimate | Chinese-origin rare earth content that brings a good made anywhere in the world inside China's export control | Section 301 forced-labor tariff on Chinese goods, effective July 24, 2026, replacing the voided IEEPA duties | Annual imports covered by the 2018 Section 301 lists, left untouched by the Supreme Court ruling |

## SCOTUS Removed the Authority but the Tariffs Came Back Anyway

The single largest structural change of the past year was the decision handed down on February 20, 2026. In *Learning Resources, Inc. v. Trump*, consolidated with *Trump v. V.O.S. Selections*, the Supreme Court held by six votes to three, in an opinion by Chief Justice Roberts, that the International Emergency Economic Powers Act does not confer tariff authority. The President revoked the IEEPA tariff orders by executive order the same day, and Customs and Border Protection stopped collecting on goods entered on or after February 24. The fentanyl tariffs first imposed in February 2025 and the reciprocal tariffs imposed from April 2025 are void and terminated. Refund mechanics remain unresolved, and the administration's stipulation of January 8, 2026 committed it only to refunds for similarly situated plaintiffs once a decision becomes final and unappealable.

Within hours of the ruling, the administration proclaimed a temporary import surcharge under Section 122 of the Trade Act of 1974, at 10 percent, effective February 24 and running for the statutory maximum of 150 days.

An increase to the 15 percent statutory ceiling was announced two days later but does not appear to have been implemented by proclamation. The Court of International Trade held on May 7, 2026 that the surcharge was unlawful because the balance-of-payments conditions in the statute were not satisfied. It expired on its own terms on July 24, 2026 in any event, and the new Section 301 forced-labor tariff took effect the same day.

That forced-labor action came out of an investigation launched on March 12, 2026 into China's failure to impose and effectively enforce a ban on goods made with forced labor. USTR proposed the measure on June 2 and imposed it at 12.5 percent effective July 24, exempting goods already subject to Section 232. It is framed as a permanent replacement for the voided duties rather than as a stop-gap, and the broader action reached roughly eighty economies at rates of 10 or 12.5 percent, following a review that examined some sixty on forced-labor enforcement. A second Section 301 investigation opened on the same day in March, into manufacturing overcapacity across a group of large trading partners, which at the time of writing is still pending but is the most obvious candidate for the next tariff layer.

### What the ruling did not touch

Section 232 rests on the Trade Expansion Act of 1962 and on a Commerce Department investigation record, and none of the actions taken under it were affected. Steel and aluminum have been at 50 percent since June 2025, with derivative products at 25 percent on full customs value following the restructuring of April 6, 2026. Proclamation 11002 of January 14, 2026 imposed a 25 percent tariff on a narrow set of advanced computing chips meeting defined performance thresholds, effective January 15. The 2018 Section 301 lists covering roughly 370 billion dollars of annual imports are equally unaffected, as is the September 2024 strategic-sector overlay staged through 2025 and 2026.

## The Busan Package Was a Set of Matching Concessions

The framework agreed between the two presidents at Busan on October 30, 2025 is often described as a truce, which is accurate but incomplete, because the term suggests a single undertaking when what was actually exchanged was a series of specific concessions set against corresponding quid-pro-quo measures. Reading the package as a set of paired concessions rather than as one agreement changes what an exposed firm should watch, since it means the failure of any single leg has an identifiable counterpart on the other side.

The clearest pair is the regulatory one. On November 10, 2025 BIS suspended the **Affiliates Rule**, which had extended Entity List and Military End User restrictions to any entity fifty percent or more owned, directly or indirectly and individually or in aggregate, by a listed party. The rule was modeled on the analogous rule administered by the Office of Foreign Assets Control (OFAC), and it had been in effect only from September 29 to November 10, 2025. Three days before the suspension, on November 7, MOFCOM and the General Administration of Customs issued Announcement No. 70, suspending the six announcements of October 9, 2025 that had expanded China's rare earth export controls. Those two suspensions run to the same end date and were traded for one another.

The second pair concerns shipping. USTR suspended Annexes I to III of the **port fee action** on Chinese vessel operators, Chinese-built vessels, and foreign-built vehicle carriers, which had taken effect on October 14, 2025 and were chargeable up to five times a year per vessel. China suspended its reciprocal special port fees for the identical period. The increase in the headline fee from 50 to 80 dollars per net ton, scheduled for April 17, 2026, did not take place. Annex IV, covering liquefied natural gas shipping, was not permanently suspended and remains scheduled for April 2028.

The third pair is the tariff and agriculture leg. The American fentanyl tariff was cut from 20 to 10 percent, and on November 5, 2025 China's State Council Tariff Commission confirmed the removal of the 10 to 15 percent retaliatory duties on American agricultural products announced in March of that year, effective November 10, alongside the lifting of an import ban on American logs and the reinstatement of three soybean exporters. China further agreed to suspend the retaliatory and non-tariff countermeasures it had enacted since March 2025 until December 31, 2026, which is a separate date and a separate commitment from the November cliff.

## Differentiating Between Suspension and Rescission

This is the technical distinction on which the whole structure turns, and it is routinely elided in commentary that treats a paused measure as a withdrawn one. A suspension pauses a measure while leaving it on the books, so that it becomes a ticking clock that returns automatically at a set date or on a short notice in the Federal Register. A rescission removes the measure, so that reimposition requires a fresh rulemaking with the notice, comment, and interagency process that implies. The practical difference is one of speed, in that a suspension can be undone by a notice drafted in one afternoon whereas restoring a rescinded measure requires a rulemaking that in practice takes many months.

The Affiliates Rule was suspended and not rescinded, which is why it restarts on November 10, 2026 without any new process, and why it could in principle be reactivated earlier if Washington concluded that Beijing was under-delivering on rare earth licensing. China's Announcement No. 70 is constructed the same way, having suspended the six announcements of October 9 rather than withdrawn them, so Beijing retains the same ability to bring its controls back on its own timing. Both governments came out of Busan with their instruments intact and with the previous position restorable by executive action alone, so that nothing procedural stands between the current arrangement and its reversal, and what holds it in place is political will in the two capitals.

The scale of what the Affiliates Rule suspension is holding back deserves emphasis, because the rule reaches ownership rather than identity. One estimate by the Center for Strategic and International Studies (CSIS) finds that the fifty percent ownership test would have brought controls to bear on something in the order of twenty thousand companies in China alone.

The Entity List is often described as a blacklist, which overstates it slightly and understates what it does in practice. What a listing means for an exporter is that it can no longer ship to that customer without a license, that this applies to everything it sells them rather than only to controlled goods, so that ordinary commercial items which previously needed no paperwork at all now need an approval, and that for most Chinese entries the default answer is no. The Affiliates Rule extends the same treatment to any company that a listed customer owns half of or more and extends the Military End User List the same way, though that leg bites less because its license requirement reaches only a defined set of controlled items rather than everything subject to the EAR. Firms selling into China therefore need to map their counterparties for majority ownership by listed parties before the rule restarts, since on reimposition the restriction attaches to companies that appear on no list under their own name.

## How Quickly the Position Can Revert

The speed asymmetry described in the previous section is what gives the current arrangement its shape. Restoring a suspended measure takes a notice; restoring a rescinded one takes a rulemaking. Because both governments chose suspension across the board, the whole package can be reinstated by executive action alone on either side, and nothing procedural stands in the way of that happening on the day the suspensions lapse.

## The current schedule

The table below is the datable part of this explainer and the part that will be restated once these dates have passed. It sets out the default position, meaning what occurs if neither government takes an affirmative step. Interestingly, the cliff falls roughly eight days before China hosts the APEC leaders' meeting in Shenzhen, reported for November 18 and 19, so the snap-back would precede the summit rather than follow it.

| Measure                                  | Position now                                         | Default outcome on November 10, 2026                                                                                             | Who must act to prevent it                                                |
|------------------------------------------|------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| <b>Tariff truce</b>                      | In force, one-year term agreed at Busan              | Expires. Absent extension, rates can revert toward pre-truce levels                                                              | The President and China's State Council, by agreement or executive action |
| <b>BIS Affiliates Rule</b>               | Suspended through November 9, 2026                   | Reimposes automatically, extending controls to entities 50 percent or more owned by listed parties                               | BIS, by extending the suspension or rescinding the rule                   |
| <b>China's rare earth controls</b>       | Suspended by Announcement No. 70 of November 7, 2025 | The October 9, 2025 regime can snap back, including the extraterritorial 0.1 percent content rule                                | MOFCOM and the General Administration of Customs                          |
| <b>USTR port fees</b>                    | Annexes I to III suspended                           | Fees resume, with Annex I stepping toward 80 dollars per net ton                                                                 | USTR                                                                      |
| <b>China's reciprocal port fees</b>      | Suspended for the matching period                    | Fees resume                                                                                                                      | China's Ministry of Transport                                             |
| <b>178 Section 301 exclusions</b>        | Extended to November 10, 2026                        | Underlying list duties snap back on entries made on or after that date, at 25 percent on Lists 1 to 3 and 7.5 percent on List 4A | USTR, by a further extension                                              |
| <b>China's countermeasure suspension</b> | Running to December 31, 2026                         | Lapses seven weeks later, on a separate clock from the November cliff                                                            | China's State Council                                                     |

Two further dates sit just outside the window. A progress update on the Section 232 aircraft and jet engine negotiations must be submitted to the President around January 5, 2027, following Proclamation 11040 of July 9, 2026, which found a threat to national security but directed negotiation rather than imposing tariffs. And the liquefied natural gas restrictions under Annex IV of the port fee action are scheduled to take effect in April 2028.

## Which Sectors Each Instrument Actually Reaches

Knowing what may or may not transpire on November 10 is one thing, but it says nothing about what specific sectors are the most impacted. In effect, the distribution is uneven because the suspended measures were built on four different triggers. The tariff exclusions and the underlying Section 301 lists attach to products, identified by tariff line. The Affiliates Rule attaches to counterparties, identified by who owns them. The port fees attach to vessels, identified by where the hull was built and who operates it. And China's October 2025 rare earth regime attaches to a class of material, reaching goods manufactured anywhere in the world once a threshold quantity of it has been incorporated. A firm therefore has to work out which of those four its transactions



actually cross, and the answer is rarely all of them: a steel fabricator sits outside every leg of the November package while remaining fully exposed to Section 232, and a magnet importer with no Chinese suppliers at all can find itself inside the rare earth control through the composition of a part bought in Europe.

| Sector                                                              | What returns on November 10, 2026                                                                                                                                                                                                                                                  | What applies regardless of the date                                                                                                                                                                              |
|---------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Semiconductors, electronics and computing hardware</b>           | The Affiliates Rule ownership test, so that items subject to the EAR, including EAR99 goods, require licensing for a substantially wider set of Chinese counterparties. China's October 2025 controls on rare earths, processing equipment and associated technologies also resume | The 25 percent Section 232 tariff on advanced computing chips under Proclamation 11002; case-by-case licensing for H200-class exports; the 2018 Section 301 lists                                                |
| <b>Automotive, batteries and permanent magnets</b>                  | China's October 2025 rare earth regime, including the extraterritorial rule reaching foreign-made goods containing 0.1 percent or more Chinese-origin rare earths; port fees on foreign-built vehicle carriers at 46 dollars per net ton                                           | The April 2025 licensing requirement on seven medium and heavy rare earths, which was never suspended; the September 2024 Section 301 overlay at 100 percent on electric vehicles and 25 percent on EV batteries |
| <b>Machine tools and industrial equipment</b>                       | The Affiliates Rule ownership test; any of the 178 Section 301 exclusions covering lines in this category                                                                                                                                                                          | The July 2026 Entity List additions, which reporting places in high-end computer numerical control machine tools and adjacent industrial technology                                                              |
| <b>Ocean freight, and any trade moving on Chinese-built tonnage</b> | USTR fees on Chinese vessel operators and owners, Chinese-built vessels and foreign-built vehicle carriers, chargeable up to five times a year per vessel, with Annex I stepping toward 80 dollars per net ton; China's reciprocal fees resume in parallel                         | Annex IV restrictions on liquefied natural gas shipping, which were never suspended and are scheduled separately for April 2028                                                                                  |
| <b>Steel, aluminum and derivative manufactures</b>                  | Nothing in the November package reaches this category directly                                                                                                                                                                                                                     | Section 232 at 50 percent on steel and aluminum, with derivative products at 25 percent assessed on full customs value since the restructuring of April 6, 2026                                                  |
| <b>Agriculture and food</b>                                         | China's broader suspension of countermeasures enacted since March 2025 runs to December 31, 2026 rather than to November 10, so this leg lapses seven weeks later                                                                                                                  | The removal of the retaliatory duties on American farm products was a removal rather than a suspension. Product-specific antidumping duties continue, including 74.9 percent on polyformaldehyde copolymer       |
| <b>Defense, drones and unmanned systems</b>                         | Nothing in the November package reaches this category directly                                                                                                                                                                                                                     | The MOFCOM Export Control List additions and Ministry of Finance procurement ban of June 22, 2026; Unreliable Entity List designations; the expanded 1260H list                                                  |
| <b>Aerospace</b>                                                    | Nothing in the November package reaches this category directly, and the sector runs on its own timetable, set out in the box below                                                                                                                                                 | The Section 232 finding of July 9, 2026 with remedies held in reserve; duty-free treatment for civil aircraft, engines and parts under the 1979 Agreement on Trade in Civil Aircraft                             |

Two of those triggers behave in ways that a scoping exercise built around products and country of origin will miss. The Affiliates Rule will impact companies that currently are not listed, and China's rare earth regime reaches many goods that never actually passed through China.

The fifty percent test is what makes the Affiliates Rule difficult to screen for. Ownership counts whether it is held directly or indirectly and whether it is held by one listed party or by several in combination, so a company in which two listed shareholders hold thirty and twenty-five percent is caught even though neither shareholder has a controlling stake and neither holding would look remarkable on its own. The company itself appears on no list, so a screen run against the Entity List returns it clean, and the only way to establish its position is to work back through its shareholders and check each of them against the list.

The second of those triggers works differently again. China's October 2025 rare earth regime reaches production that never touches China at all. Its extraterritorial provision applies to goods manufactured anywhere in the world that contain as little as 0.1 percent Chinese-origin rare earth material, so a European magnet producer or a Southeast Asian motor assembler with no Chinese operations, no Chinese suppliers and no Chinese customers can still fall within its scope through the composition of a component bought from a third party. Only the October 2025 expansion was suspended. The April 2025 licensing requirement covering seven medium and heavy rare earths has run without interruption throughout the truce, as have the December 2024 restrictions on gallium, germanium, antimony and superhard materials.

### **Aerospace runs on its own timetable**

Aerospace is the one sector here with nothing in the November package. The Section 232 investigation into commercial aircraft, jet engines and parts closed its 270-day statutory window in late January 2026, and Proclamation 11040 of July 9, 2026 found that these imports threaten to impair national security while imposing no tariffs, directing Commerce and USTR to negotiate instead, with a progress update due around January 5, 2027 and remedies expressly held in reserve. The legal basis for tariffs on this sector therefore already exists and has not been used. It sits outside the general tariff layer in any case, since the replacement actions of February 2026, taken once the IEEPA authority was vacated, exempted civil aircraft, engines and parts eligible for duty-free treatment under the 1979 Agreement on Trade in Civil Aircraft.

The export control history is the more instructive part, because it is the clearest worked example in this picture of a control being used as a bilateral lever and then withdrawn. In late May 2025, in response to China's April 2025 rare earth controls, Commerce suspended the licenses permitting GE Aerospace and others to supply engines and aviation technology to COMAC, covering LEAP-1C engines for the C919 and CF34 engines for the C909 together with Honeywell and Collins components, and reinstated them on July 3 alongside the lifting of restrictions on electronic design automation software and ethane. The instrument was a set of decisions on individual license applications rather than a rule of general application, so nothing was published, no comment period ran, and the episode opened and closed inside six weeks. An action of that kind would not appear on the November schedule, because it never entered any schedule to begin with.

Beijing's instruments in this sector sit outside the truce for the same reason. Boeing Defense has been on the Unreliable Entity List since May 2024, and the action of June 22, 2026 added Ball Aerospace and Oshkosh Defense to the MOFCOM Export Control List while barring government procurement from Boeing Defense, Lockheed Martin, Raytheon and General Dynamics among others. No formal ban on purchases of Boeing commercial aircraft was imposed in 2026. Its remaining levers are its position in rare earths and aviation-relevant inputs and its control over COMAC procurement, neither of which requires a listing decision to deploy.



## Where the Discretion Sits

Formal measures with published expiry dates are the easy part of this picture, because they can be diarized. The harder part is the set of instruments where the government of the day exercises discretion without announcing a timetable, and there are three worth watching on the American side and two on the Chinese side.

The first is the Entity List, where BIS added no entities at all between October 2025 and June 2026. CSIS, which documented the pause in late June 2026, noted that additions had run at an average of one tranche every thirty-five days between 2018 and 2024, making the eight-month gap the longest since 2008. The freeze followed directly from the Busan understanding. Reporting indicates that BIS ended it on or about July 21, 2026 with a tranche of roughly fifty-two Chinese entities concentrated in high-end computer numerical control machine tools and adjacent industrial technology, though the count and the sectoral focus trace to a single trade-press chain and could not be confirmed against a Federal Register citation. The reopening itself is corroborated, but the figure of fifty-two should not be carried into a client document without a primary citation behind it.

The second is licensing policy on advanced chips. Following the announcement of December 8, 2025, BIS shifted exports of the Nvidia H200, the AMD MI325X, and comparable products to China from a presumption of denial to case-by-case review by final rule of January 15, 2026. Reporting describes a twenty-five percent fee arrangement and indicates that very few sales had actually materialized by the middle of 2026, with a substantial share of approved units reportedly unshipped amid a dispute between Commerce and State. The licensing baseline has therefore moved even though very little has shipped under it, and anyone reading the thin sales figures as evidence that the policy has been quietly abandoned is reading a commercial outcome as though it were a regulatory one.

The third is congressional pressure, which runs in two directions that are easy to confuse. National-security hawks want the controls tightened, and the AI OVERWATCH Act, advanced by the House Foreign Affairs Committee by a reported 42 to 2 vote in January 2026, would bar Blackwell-class chip sales to China for two years and give Congress a veto over future licenses. A separate group of members is pressing on process and administration conduct rather than on the substance of the controls, objecting to the fee arrangement as a monetization of national-security licensing.

Both directions converge on the reporting requirement created by the Export Control Transparency Act, P.L. 119-34, whose first annual report fell due on August 19, 2026. Its absence from public view is a feature of the statute rather than an indication that it was not delivered, because the Act directs the report to the House Foreign Affairs Committee and the Senate Committee on Banking, Housing, and Urban Affairs and expressly exempts its contents from public disclosure other than aggregate statistics. Two things about its scope deserve attention. It is conditioned on the availability of appropriations, and it covers only entities that are both located in a Country Group D:5 country and named on the Entity List or the Military End User List, which means it does not reach the majority-owned subsidiaries and affiliates that the Affiliates Rule was written to capture. The oversight window Congress opened is therefore narrower than the control it was meant to oversee, and narrower still for as long as that rule remains suspended.

On the Chinese side, the two live discretionary instruments are the antitrust investigations and the export-control listings. The State Administration for Market Regulation opened its investigation into Nvidia in December 2024 over conditions attached to the Mellanox acquisition and announced a preliminary finding of violation on September 15, 2025, and it opened a second investigation into Qualcomm on October 10, 2025 over the Autotalks acquisition. Both remain formally open with no closure notice published. Separately, on June 22, 2026, MOFCOM added ten American companies to the Export Control List and the Ministry of Finance

barred government procurement from forty-six more. Some outlets reported this as an action against fifty-six firms, which is the sum of the two lists rather than a single measure.

---

## In Conclusion

None of the measures set out above was withdrawn. Each was suspended, and a suspension is an instrument held in reserve rather than a concession given up, because it stays on the books, it returns without a fresh rulemaking, and the government that granted it keeps the ability to withdraw the grant on a notice drafted in an afternoon. Both sides came out of Busan with their instruments intact, which means nothing procedural stands between the current arrangement and its reversal and what holds it in place is political will in the two capitals.

Two further features of this instrument set are worth carrying away from it, because they survive whatever the two governments agree. The first is that the controls which reach furthest are the ones that operate on ownership and on material content rather than on the name of a company or the code of a product, so a firm can be inside the Affiliates Rule through a shareholder register it has never examined, or inside China's rare earth regime through the composition of a component bought in Europe from a European supplier. The second is that a growing share of what actually determines outcomes carries no published expiry at all, whether that is an eight-month pause in Entity List additions, a licensing policy administered case by case, or an antitrust investigation left formally open. Measures with dates attached can be diarized. The rest have to be watched.

---

## Sources and Register

Statements in this explainer rest on one of three registers. Documented primary source: statutes, proclamations, Federal Register rules, official announcements, and court opinions. Attributed reporting: named outlets, identified as such in the text. Assessment: the author's judgment, labeled where it appears. Where the record is silent, that silence is reported rather than filled.

Section 301 of the Trade Act of 1974 and USTR notices for the 2018 four-list regime and the September 2024 four-year-review overlay; USTR notice of product exclusion extensions of December 1, 2025 carrying 178 exclusions to November 10, 2026; USTR Section 301 investigation initiated March 12, 2026 on forced labor, proposed action of June 2, 2026 and duties effective July 24, 2026, and the parallel investigation into manufacturing overcapacity. International Emergency Economic Powers Act; executive orders imposing the fentanyl and reciprocal tariffs; *Learning Resources, Inc. v. Trump*, consolidated with *Trump v. V.O.S. Selections*, decided February 20, 2026; the revoking executive order of the same date and CBP guidance halting collection for entries on or after February 24, 2026; the government stipulation of January 8, 2026 on refunds. Section 122 of the Trade Act of 1974 and Proclamation 11012 of February 20, 2026, the rate increase of February 22, and the Court of International Trade judgment of May 7, 2026. Section 232 of the Trade Expansion Act of 1962; CBP guidance on steel, aluminum, and the derivative restructuring of April 6, 2026; Proclamation 11002 of January 14, 2026 and CBP guidance CSMS #67400472 on semiconductors; the Section 232 aircraft and jet engine investigation self-initiated May 1, 2025 with notice published May 13, 2025, and Proclamation 11040 of July 9, 2026, published July 15, 2026 at 91 FR 43507; the January 14, 2026 proclamation on processed critical minerals; the exemption of civil aircraft, engines and parts eligible for duty-free treatment under the 1979 Agreement on Trade in Civil Aircraft. BIS interim final rule of September 29, 2025 and final rule of November 10, 2025 on the Affiliates Rule, 90 Fed. Reg. 50857, published November 12, 2025, together with Temporary General License No. 7; BIS final rule of January 15, 2026 on case-by-case review for H200 and comparable chips. USTR Notice of Action of April 17, 2025 and modification of October 2025 on port fees, and the suspension of Annexes I to III effective November 10, 2025. Executive Order 14105 of August 9, 2023, the Treasury Outbound Investment Security rule effective January 2, 2025, and the COINS Act enacted in the FY2026 NDAA, P.L. 119-60, signed December 18, 2025; the Maintaining American Superiority by Improving Export Control Transparency Act, P.L. 119-34, signed August 19, 2025, amending section 4815 of the Export Control Reform Act of 2018, with the first annual report due to the House Committee on Foreign Affairs and the Senate Committee on Banking, Housing, and Urban Affairs by August 19, 2026, subject to the availability of appropriations and exempt from public disclosure other than aggregate

statistics. China's Export Control Law and Dual-Use Items Regulations; MOFCOM and General Administration of Customs Announcements 55 to 58, 61 and 62 of October 9, 2025, and Announcement No. 70 of November 7, 2025 suspending them through November 10, 2026; the April 2025 controls on seven medium and heavy rare earths, which were not part of the suspension and remain in place; the December 2024 restrictions on gallium, germanium, antimony and superhard materials; State Council Order No. 834 and the January 2026 catalogue expansion; MOFCOM Provisions on the Unreliable Entity List; MOFCOM and Ministry of Finance notices of June 22, 2026; State Council Tariff Commission announcement of November 5, 2025. Center for Strategic and International Studies, on the pace of Entity List additions, documented late June 2026. Attributed reporting relied on and identified as such: Reuters on the 2025 aerospace engine license suspension and its reversal; trade-press reporting on the July 2026 Entity List reopening, whose entity count is not confirmed against a primary source; South China Morning Post on the APEC Shenzhen dates, which are not yet confirmed by an official host announcement; China Briefing, Global Times, CNBC, Caixin and Manufacturing Dive on the measures and readouts attributed to them in the text. Several statements are expressly identified above as reported rather than verified, and absences of evidence are stated as absences.

## Disclaimer

This explainer is produced by Market Access X for professional information purposes only. It does not constitute investment advice, legal advice, or a recommendation to buy or sell any security or asset. The analysis reflects information available at the time of publication and is subject to change, and several of the measures described are subject to expiry, extension, or reimposition on short notice. Claims marked as reported or as assessment are the author's analytical judgments rather than established facts and are flagged as such in the text. The legal status of particular structuring and compliance choices is unsettled and firm-specific, and nothing here substitutes for advice of counsel against a firm's own facts. Market Access X accepts no liability for decisions made on the basis of this explainer.

---

**Market Access X publishes paid Strategic Analysis reports on trade policy, geopolitics, and supply chain strategy. This explainer is free to read and free to share with attribution.**

[marketaccess-x.com](https://marketaccess-x.com) | [simon.lacey@marketaccess-x.com](mailto:simon.lacey@marketaccess-x.com)